I told the Joint Chiefs of Staff that I wanted to do whatever it took to make our men and women proud to wear their uniforms again. I also asked them to tell me what new weapons they needed to achieve military superiority over our potential enemies. I knew reversing the effects of years of neglect would be expensive and difficult. But during the campaign, the people of America had told me nothing mattered more to them than national security. Time and again, when I went around the country calling for a balanced budget, I'd get this question: "But what if it comes down to a choice between national security and the deficit?"

Every time, I answered: "I'd have to come down on the side of national defense." And every time I did, the audience roared. Nobody wanted a second-class army, navy, or air force defending our country.

I wanted a balanced budget. But I also wanted peace through strength. My faith was in those tax reforms, and I believed we could have a balanced budget within two or three years—by 1984 at the latest.